

of these cases, there is an easy solution: launch the MVP under a different brand name. In addition, a long-term reputation is only at risk when companies engage in vocal launch activities such as PR and building hype. When a product fails to live up to those pronouncements, real long-term damage can happen to a corporate brand. But startups have the advantage of being obscure, having a pathetically small number of customers, and not having much exposure. Rather than lamenting them, use these advantages to experiment under the radar and then do a public marketing launch once the product has proved itself with real customers.¹¹

Finally, it helps to prepare for the fact that MVPs often result in bad news. Unlike traditional concept tests or prototypes, they are designed to speak to the full range of business questions, not just design or technical ones, and they often provide a needed dose of reality. In fact, piercing the reality distortion field is quite uncomfortable. Visionaries are especially afraid of a false negative: that customers will reject a flawed MVP that is too small or too limited. It is precisely this attitude that one sees when companies launch fully formed products without prior testing. They simply couldn't bear to test them in anything less than their full splendor. Yet there is wisdom in the visionary's fear. Teams steeped in traditional product development methods are trained to make go/kill decisions on a regular basis. That is the essence of the waterfall or stage-gate development model. If an MVP fails, teams are liable to give up hope and abandon the project altogether. But this is a solvable problem.

FROM THE MVP TO INNOVATION ACCOUNTING

The solution to this dilemma is a commitment to iteration. You have to commit to a locked-in agreement—ahead of time—that no matter what comes of testing the MVP, you will not give up hope. Successful entrepreneurs do not give up at the first sign of trouble, nor do they persevere the plane right into the ground. Instead, they possess a unique combination of perseverance and flexibility. The